

DC/BC extension. You might think that for point D, I'd use the same method as in prior ratios. You'd be correct. The high–low range of point D is 60.46 to 59.64. The extension uses the high at B, low at C, and the D high–low range. That is, $(60.46 - 55.50)/(57.81 - 55.50)$ or 2.15. Using the low at D gives $(59.64 - 55.50)/(57.81 - 55.50)$ or 1.79. The range of 1.79 to 2.15 includes the Fibonacci number 2, so point D is valid, also.

DA/XA extension. I calculate the DA/XA extension differently. In this case, I use a 3% window (3% above to 3% below) the price of D to qualify a 1.27 Fibonacci number. We use the high at D, low at A, and high at X. Thus, we get $(60.46 - 53.14)/(58.81 - 53.14)$ or 1.29. The 1.29 value must be within 3% of 1.27, which it is. This completes the dorking with Fibonacci ratios to qualify the pattern as valid.

Volume. Volume trends downward the majority of the time, as we'll see in [Table 16.2](#). Do not disqualify a bearish butterfly just because volume trends upward, unless you feel like it. The volume trend is not a requirement of a valid butterfly, just an observation.

The volume trend in [Figure 16.2](#) is downward (H), as measured between points X and D using linear regression. Often you can tell the volume trend just by looking at volume.

Duration. I limited butterfly patterns to six months or less, but that's an arbitrary limit I use for most chart patterns.

Focus on Failures

[Figure 16.3](#) shows a bearish butterfly at turns XABCD. The butterfly is part of a rounded-looking turn (rounded bottom chart pattern), starting from the high at H. It's not a pretty turn because the bottom isn't as smooth as I like to see, but it's there. Regardless, the butterfly acts as a reversal pattern when it appears at the bottom of the turn.

Price rises to D, completing the pattern, and then turns downward at D, just as it's supposed to. Unfortunately, the drop from the high at D to the low at E measures just 3%. That's too small for most traders to feel good about shorting the stock (but how would they know ahead of time?).